

loans as well as partial *cancellation* of Perkins loans (15% for each year of service, up to 70% in total).

- **You work in health care.** Doctors and nurses who are willing to work for two years in regions that are remote or economically depressed can also have their Direct and FFEL Program loans partially forgiven through the National Health Service Corps (nhsc.bhpr.hrsa.gov) and the Nursing Education Loan Repayment Program (bhpr.hrsa.gov/nursing/loanrepay.htm).
- **You enlist.** If you sign up to join the Army, Navy, or Air Force, you may qualify to have up to \$65,000 (or up to \$20,000 for reservists) of your student loan debt paid through the Student Loan Repayment Program (www.military.com). Perkins, Stafford, PLUS, and consolidation loans are considered. For more on military benefits, see Chapter 10.

Understand the Perils of Private Loans

With tuitions skyrocketing, many students and their families have turned to **private loans**, also known as alternative loans, from banks or other financial institutions. These are different from the federal loans you may get under the FFEL Program from a “private” bank. All this gets very confusing, but the bottom line is that private loans are often much more expensive for borrowers. You need to be on guard.

One problem with private loans: The interest rates are generally not capped. In fact, due to the credit crunch, private lenders have jacked up the interest rates by as much as two or three times the rates on federal loans.

If you’re already stuck with several private loans and you find that your credit history has improved over time, you might want to consider folding them all into a new private consolidation loan at a better rate. Or try to get a cosigner with good credit to apply with you for a new lower-rate loan.

If you’re in college now and have used all the federal loans you qualify for, talk to your parents before you sign up for any private loans. If they haven’t had any major credit problems (i.e., a recent foreclosure or bankruptcy), they may be able to help by getting a Parent PLUS loan. Rates on these loans are generally a little higher than on Stafford loans, but